

Q.1)

Ans: Contract law plays very important role in business as it provides legal protection and certainty to the parties involved. It ensures legal enforcement.

Key elements are:-

• Legal Protection:

Contract law protects the rights of both parties.

If one break their promise then other can seek legal action in court. e.g: if supplier agrees to deliver 500 laptops but fails then company can sue the supplier.

1- Offer :

The party must make a clear proposal to other party.

e.g: A mobile dealer offers to sell a phone for 10,000.

2- Acceptance:

Other party must agree to offer without changing its terms.

e.g Buyer agrees to purchase phone for 10,000.

3- Consideration:

There must be something of value exchanged between parties.

e.g Buyer pays money and seller provides phone.

4- Free Consent:

Both parties must agree to contract freely without pressure.

e.g if someone is forced to sign a contract under threat, contract becomes invalid.

5- Capacity of Parties:

The parties must:

- Legal age
- Mentally sound
- Not disqualified by Law

e.g 16 year old cannot legally enter into contract.

6-Lawful Object:

The purpose of contract must be legal.

e.g A contract to sell illegal drugs is no valid

Q.2)

Ans: This statement means that every contract begins with an agreement, but not every agreement becomes a legally enforceable contract.

Agreement:

It means when one party makes an offer and the other party accepts it, an agreement is formed.

e.g You invite your friend for iftar party and he accepts it. This is an agreement but not a contract because it has no legal obligations.

Contract:

A contract is an agreement that fulfills all legal requirements and is enforceable by law.

e.g If a shop owner agrees to sell a laptop for 20,000 and buyer agrees to pay the price. It becomes a contract bcz it involves legal obligations.

Analysis:

The statement is correct because:-

- Every contract starts as an agreement.
 - Agreements that fulfill legal conditions become contracts.
 - Social agreements usually do not create legal obligations.
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